LONG-FORM ANALYTICAL FEATURE

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The Miracle and the Mirror

What Bangladesh's microfinance experiment really proved about lifting people out of poverty

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A note on this piece

This is a long-form analytical feature rather than a conventional term essay — the register I work in as a journalist, brought to bear on a development-studies question. It examines the contested legacy of microfinance, the grassroots-development model my own country invented and exported to the world. It is reported in approach and argued in substance, but it contains no invented fieldwork or quotations: every figure, study, and quoted phrase is drawn from a published, citable source, listed at the end. Where the evidence is disputed, I have given the dispute rather than a tidy verdict.

The promise was beautiful in its simplicity. Give a poor woman a small loan — too small for any ordinary bank to bother with — and she will buy a goat, or a sewing machine, or a stock of bangles to sell, and she will work her way out of poverty one repayment at a time. No charity, no handout, no waiting for the state. Just credit, dignity, and the market doing what aid never could. Muhammad Yunus, who built Grameen Bank around that idea in the villages of Bangladesh, once predicted that our grandchildren would have to visit a museum to understand what poverty had been.

It is the most successful development story Bangladesh has ever told about itself. Grameen and its Nobel Peace Prize, the model copied across four continents, the United Nations declaring 2005 the International Year of Microcredit — all of it began in a country that is more used to appearing in the development literature as a problem than as a solution. For a Bangladeshi, microfinance is not an abstract case study. It is the thing we got right, the export we are proud of. Which is exactly why it is worth asking, carefully and without sentiment, what the evidence actually shows. Did the miracle work? And if the honest answer is "less than we were told," what does that failure of a story teach us about how grassroots development is supposed to work at all?

The idea, and why it was so persuasive

The intellectual appeal of microcredit is that it sits at the meeting point of several development traditions at once. To the market liberal, it is proof that the poor are not helpless but under-banked — rational entrepreneurs starved of capital, who will flourish the moment a credit market reaches them. To the institutional economist, it is a clever solution to a real market failure: conventional banks will not lend to the poor because the poor have no collateral and screening tiny borrowers is not worth the cost, and Grameen's innovation — group lending, where five borrowers guarantee one another and the threat of collective exclusion replaces collateral — solves that information problem ingeniously. To the feminist development thinker, it is a tool of empowerment, because Grameen channelled the overwhelming majority of its loans to women, putting cash and a measure of financial standing into hands that rarely held either.

It also fit the politics of its moment. By the 1990s the international donor community had grown weary of large state-led development and its disappointments, and microcredit offered an attractive alternative: self-help rather than dependency, individual entrepreneurship rather than bureaucracy, a programme that could even claim to pay for itself. Yunus was a gifted communicator of this vision, and the donors very much liked what he was saying (Bateman & Chang, 2012). The idea travelled because it flattered nearly everyone's priors at once. What it needed, to move from inspiring story to established fact, was evidence.

The study that seemed to prove it

The evidence arrived, apparently, in 1998. A research team led by Shahidur Khandker, working with Mark Pitt and supported by the World Bank, analysed roughly 1,800 households across 87 Bangladeshi villages, using Grameen's own landholding-based eligibility rule to separate the effect of borrowing from the characteristics of the borrowers (Pitt & Khandker, 1998). They reported economically and statistically significant gains in household consumption for women who borrowed from Grameen. From this came the figure that would be repeated for years: that around five percent of Grameen borrowers crossed out of poverty annually. Later work by Khandker pushed the claim further still, estimating that microfinance accounted for something like forty percent of the entire reduction in moderate rural poverty in Bangladesh between 1991 and 1998 (Khandker, 2005).

For roughly a decade this stood as the best scholarly evidence that microlending lifted people out of poverty (GiveWell, 2011). It was peer-reviewed, it came from the World Bank, and it put a number on the miracle. Yunus's claim that the poor were escaping poverty in measurable percentages now had an academic citation behind it. The story and the science had converged.

The unravelling

Then the science came apart. In 2009, David Roodman and Jonathan Morduch set out to replicate the Pitt-Khandker result using the same dataset — the ordinary due diligence of a maturing field — and could not reproduce it. Worse, when they ran the analysis, the sign on the key effect tended to reverse: by their methods, borrowing appeared to leave women slightly worse off, not better (Roodman & Morduch, 2014). The original finding, it turned out, rested on a complex econometric identification strategy whose results were fragile to reasonable changes in method, and the full data and code had not been public, so no one had checked.

What followed was one of the more bruising methodological fights in development economics, conducted partly through journal titles — Pitt's reply was called "Gunfight at the Not OK Corral," answering a critique framed as "High Noon for Microfinance" (Pitt, 2012). Pitt and Khandker argued that Roodman and Morduch's replication was itself the flawed one, built on mistaken econometrics and a misreading of the software (Pitt & Khandker, 2012). A neutral reader does not have to declare a winner to draw the relevant lesson. The single most influential piece of evidence for microfinance's poverty impact was, at minimum, contested enough that it could no longer be cited as settled fact. The number everyone had been repeating had stopped being safe to repeat.

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The verdict from the trials

Into that uncertainty came a different kind of evidence. A group of economists associated with what would become the randomised-controlled-trial movement — the approach for which Abhijit Banerjee, Esther Duflo, and Michael Kremer later shared a Nobel — argued that the only clean way to know microcredit's effect was to randomise access to it, exactly as a drug trial randomises a treatment. The landmark study opened branches of a microfinance institution in half of 104 randomly chosen slums in Hyderabad, India, and left the other half alone (Banerjee, Duflo, Glennerster, & Kinnan, 2015). It then watched what happened.

The results were sobering for anyone holding the miracle story. Access to microcredit did raise borrowing, and it did nudge some business activity — households invested a little more in the small enterprises they already ran. But there was no significant effect on average household consumption, the basic marker of whether people were actually better off. There was no measurable gain in health, in children's education, or in women's empowerment, the very outcomes the model had promised. Two years on, after the comparison slums had also gained access, almost no difference between the groups survived at all. One striking pattern did appear: borrowing households spent a little more on durable goods and a little less on what the researchers delicately called "temptation goods." Microcredit, in other words, helped people manage money and smooth consumption. It did not transform their lives.

This was not one anomalous study. When Banerjee, Karlan, and Zinman gathered six randomised evaluations spanning six countries on four continents, urban and rural, with different lenders and loan designs, they found the same thing each time: a consistent pattern of modestly positive but not transformative effects, with no dramatic impact on poverty or household wealth (Banerjee, Karlan, & Zinman, 2015). The convergence is what matters. A single null result can be explained away; six, from very different settings, describe a real ceiling. Microcredit is a useful financial tool. It is not an escalator out of poverty.

The defence, fairly put

The microfinance community did not simply concede, and some of its objections are serious enough to state properly. The first is that the RCTs mostly studied second-tier lenders over short windows of one to three years, and that escaping poverty is a longer, slower process than that — a fifteen-month snapshot may simply be too short to catch a trajectory that takes a decade (Counts, 2022). The second is a measurement point: consumption may be the wrong yardstick, because a household that borrows to invest may deliberately hold consumption flat in the short run, so a "no change in consumption" finding could mask exactly the disciplined investment the model intends. The third is more pointed — that the RCT enthusiasts went looking at mediocre institutions with a powerful new hammer, rather than improving a flawed-but-real tool that was already reaching millions (Counts, 2022).

These are fair, and a responsible reading holds them in view. But they qualify the RCT verdict; they do not overturn it. Even granting the short time horizon and the consumption caveat, the burden of proof has shifted. The strong claim — that microcredit reliably lifts the poor out of poverty — is the one that now lacks robust support, and the people best placed to defend it have not produced the longer, cleaner study that would settle the matter in their favour. The honest position is not that microfinance failed, but that it was oversold, and that the gap between the marketing and the evidence was wide enough to matter.

The cost of believing the story too completely

There is a harder edge to this than disappointed expectations, and it is worth facing. When a development model is celebrated as a poverty cure, the celebration has consequences. Capital and attention pour into credit and away from the things the evidence better supports — public health, schooling, infrastructure, cash transfers — on the theory that a loan can do the work of all of them. Critics argue that the microfinance boom in South Asia did exactly this, crowding out more effective anti-poverty measures and, in its more aggressive commercial forms, pushing households into layered debt they could not service (Bateman & Chang, 2012). The neighbouring Indian state of Andhra Pradesh saw a microfinance crisis acute enough to involve borrower suicides and emergency state intervention — the dark mirror of the empowerment story.

Bangladesh’s own relationship with its most famous institution turned uncomfortable, too. In 2010 a documentary using Norwegian state archives alleged that Grameen had quietly moved a large Norwegian housing grant between affiliated entities in the 1990s; the accounting was later cleared of misuse, but the controversy fed a political confrontation that ended with Yunus removed from the bank he founded (Bateman & Chang, 2012). The point here is not to relitigate that episode. It is that a model carried so far on the strength of a founder’s storytelling becomes vulnerable when the story is what is holding it up. Evidence is sturdier than charisma, and it is also harder to weaponise.

What the mirror shows

So what does Bangladesh's microfinance experiment actually teach grassroots development? Not that bottom-up approaches do not work — that would be the wrong lesson, and an unfair one. Amartya Sen's argument that development is best understood as the expansion of real freedoms and capabilities, not merely incomes, suggests why access to credit can matter even where it does not move the consumption needle: a woman with a loan account and a small business has options and standing she did not have before, and those are real even if modest (Sen, 1999). Microcredit does something. It is a genuine financial service for people the formal system ignored. The error was never in offering it; the error was in believing it could substitute for everything else.

The deeper lesson is about evidence and stories. Grassroots development is unusually prone to the seductive anecdote — the woman, the goat, the loan, the transformation — because the anecdote is true in individual cases and because it flatters our wish for a clean solution. What the microfinance saga demonstrates is how a moving individual story, repeated by a charismatic founder and endorsed by a fragile study, can harden into a global consensus that the harder evidence does not support. The RCT movement's real contribution was not the discovery that microcredit underperforms; it was the insistence that we measure these things properly before we believe them, and that we keep believing only as far as the measurement holds.

That is a discipline I take seriously in my own work, because it is the same discipline journalism is supposed to practise: the moving story is where you start, not where you stop, and the claim that cannot survive being checked is the claim you do not get to make. Bangladesh gave the world a beautiful idea about lifting people out of poverty. The most useful thing the country can now offer is the more difficult and more honest sequel — not that the idea was a fraud, but that it was smaller than its legend, and that knowing the difference is what separates development from wishful thinking.

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